

SS3/21 - Non-systemic UK banks: The Prudential Regulation Authority's approach to new and growing banks

Effective Date: 03-03-2026

Source: <https://www.prarulebook.co.uk/guidance/supervisory-statements/ss03-21---non-systemic-uk-banks-the-pras-approach-to-new-and-growing-banks/03-03-2026>

Type: Supervisory Statement

Scraped: 2026-03-02 22:32

SS3/21 - Non-systemic UK banks: The Prudential Regulation Authority's approach to new and growing banks

Supervisory statement SS3/21

First published on 15 April 2021

This Supervisory Statement (SS) provides an overview of how the Prudential Regulation Authority's (PRA)'s supervisory expectations of 'new and growing' non-systemic UK-incorporated banks (collectively referred to

as 'banks'), evolve as they grow from the point of authorisation to being regarded as fully established banks.

- Chapter 2 provides background on progress to date with new bank authorisations; common issues of new and growing banks; and an overview of how the PRA's supervisory approach evolves as banks grow and develop.
- Chapter 3 provides further detail on supervisory expectations of new and growing banks with a focus on common issues including business model, governance, risk management and controls.
- Chapter 4 sets out the PRA's expectations for capital management in new and growing banks, and includes a revision and simplification of the PRA methodology for calibrating the PRA buffer for these banks.
- Chapter 5 sets out the PRA's and the Bank of England's coordinated approach to ensuring new and growing banks can exit the market in an orderly manner.
- Chapter 6 sets out the PRA's supervisory approach once banks become established.

This SS is relevant to the following types of banks:

- banks in their first few years of being authorised by the PRA as a deposit-taker (typically less than five years post-authorisation); and
- prospective banks interested in and currently applying for authorisation as a deposit-taker (UK applicant banks).

This SS should be read in conjunction with:

- the PRA's approach to banking supervision;
- the following joint Bank / Financial Services Authority (FSA) publications: 'A review of requirements for banks entering into or expanding in the banking sector (the 2013 report)'; and 'A review of requirements for banks entering into or banks expanding in the banking sector: one year on (the 2013 report plus one year)';
- SS31/15 'The Internal Capital Adequacy Assessment Process (ICAAP) and the Supervisory Review and Evaluation Process (SREP)'; and
- the Pillar 2 Statement of Policy (SoP) 'The PRA's methodologies for setting Pillar 2 capital'.

Current version

Published on 12 March 2024. Effective from 1 October 2025

- [Supervisory statement 3/21 – March 2024 \(pdf\)](#)
- - following PS5/24 – [Solvent exit planning for non-systemic banks and building societies](#)

Future version

Confirmed as final in January 2026, following near-final future version published in October 2025. Effective from 1 January 2027.

- [SS3/21 – Non-systemic UK banks: The Prudential Regulation Authority’s approach to new and growing banks - January 2026 \(pdf\)](#)

Confirmed final by [PS4/26 – The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers \(SDDTs\) – final](#).
First published as near-final as part of [PS20/25 – The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers \(SDDTs\) – near-final](#).

Past versions

- 

List of past versions

Published 15 April 2021. Effective from 15 April 2021.

- [Supervisory Statement 3/21 - April 2021 \(PDF\)](#)
- Following PS8/21 [‘Non-systemic UK banks: The Prudential Regulation Authority’s approach to new and growing banks’](#)

Convert this page to PDF

[02 March 2026](#)

[Prudential Regulation // PRA statement](#)

[27 February 2026](#)

[Prudential Regulation // Consultation paper](#)

[25 February 2026](#)

[Prudential Regulation // Policy statement](#)

[20 February 2026](#)

[View more Other prudential regulation releases](#)

[Back to top](#)

|